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MONETARY HISTORY SERIES · FIELD GUIDE

From CoinCorner to Cold Storage

A small buyer's field guide to purchasing bitcoin with sterling and moving it into self-custody

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This paper is educational only. It is not financial, tax or legal advice, and it is not a recommendation to buy, sell or hold any asset. It describes how one exchange and one self-custody setup work mechanically, for a reader who has already made their own decision.

TL;DR

- **CoinCorner is a bitcoin exchange registered on the Isle of Man — not a bank.** It's a sensible, low-friction place to buy a small amount of bitcoin with sterling. It is not where that bitcoin should stay.
- You must complete identity verification (KYC) before you can buy anything of size, or withdraw.
- Once verified, CoinCorner issues a personal sort code and account number — an **eMoney account** — so you can fund purchases by ordinary bank transfer rather than a card.
- Trading costs **1%** of whatever you buy or sell. Funding by debit card adds a further **2.5%**; funding by Faster Payments bank transfer is free.
- Bitcoin sitting in your CoinCorner balance is a claim on CoinCorner, not bitcoin under your own control — and, being a regulated entity, CoinCorner can be compelled by a government order to freeze or restrict it, through no fault of its own. Moving bitcoin to a wallet you hold the keys to — e.g. **Sparrow Wallet** paired with a hardware signing device — removes both that counterparty risk and that coercion risk.
- This is a guide to mechanics for a small buyer, not a case for or against buying bitcoin at all.

INTRODUCTION

Scope of This Guide

Buying bitcoin is often presented as a single click. In practice it is two separate problems wearing the same trousers: acquiring the asset, and then holding it in a way that doesn't quietly reintroduce the counterparty risk bitcoin was designed to remove. Most "how to buy bitcoin" content stops at the first problem. This paper is about both.

The scope here is deliberately narrow. It assumes a UK resident buying a modest amount of bitcoin — pocket money, not a pension fund — using CoinCorner as the on-ramp, and then moving it into self-custody using Sparrow Wallet and a hardware signing device. None of what follows is written with a high-net-worth buyer in mind. Someone moving six or seven figures into bitcoin has a different set of problems entirely — inheritance planning, multi-signature setups, geographically distributed backups, OTC execution to avoid moving the market — and those are out of scope here.

Nothing in this guide is financial, tax or legal advice. It does not tell you whether to buy bitcoin, how much to buy, or what to do with it afterwards. It explains how the mechanics of one particular exchange and one particular self-custody setup fit together, so that the decision — if it's made — isn't also a fight with an unfamiliar interface.

SECTION 1

What CoinCorner Is, and Isn't

CoinCorner is a bitcoin exchange founded in 2014 and based on the Isle of Man, a Crown Dependency with its own financial regulator — the Isle of Man Financial Services Authority (IOMFSA) — separate from the UK's Financial Conduct Authority. In May 2016 it became one of the first businesses registered as a "Designated Business" under the Island's 2015 anti-money-laundering framework, in the category covering the buying, selling, exchanging, transmitting and safe-keeping of convertible virtual currency.

That registration is worth being precise about, because it is easy to over-read. Designated Business status means CoinCorner is supervised for anti-money-laundering and counter-terrorist-financing compliance. It is not a banking licence, and it does not bring customer balances under the UK's Financial Services Compensation Scheme (FSCS), which protects eligible deposits — up to £120,000 per person, per institution, as of December 2025 — if a UK bank fails. Money and bitcoin held on any cryptocurrency exchange, CoinCorner included, sits outside that scheme. This is not a criticism specific to CoinCorner; it is true of every centralised exchange, anywhere, and it is the reason Section 6 of this guide exists.

> **WORTH KNOWING**
>
> Within this framework, CoinCorner lets individuals buy and sell bitcoin against sterling, euros or US dollars, by debit card or bank transfer, and supports both on-chain and Lightning Network transactions for sending and receiving bitcoin. It has operated since 2014 and states over 350,000 users across 40-plus countries.

SECTION 2

Getting Verified

Before buying or withdrawing anything of size, you will go through identity verification — standard practice for any exchange regulated for anti-money-laundering purposes, not a CoinCorner quirk. Expect to provide a photo of a government-issued identity document (a passport or driving licence) and to complete a short liveness check, typically a selfie or brief video, so the exchange can match your face to the document. Higher-value activity may additionally call for proof of address, such as a recent bank statement or utility bill.

A few things make this go smoothly:

- Use your device's main camera rather than a screenshot or a photo of a photo.
- Photograph the whole document in good, even light, without glare across the text or photo.

- Don't crop, filter or edit the image before uploading — verification systems are quick to flag anything that looks altered.
- Keep the document in date. An expired passport or licence is the single most common reason a check stalls.

Verification is usually processed within minutes to a day. If it stalls, that is normally a document-quality issue rather than anything more concerning.

SECTION 3

Setting Up Your Own Account Inside CoinCorner

Once verified, CoinCorner offers what it calls an **eMoney account**: a personal sort code and account number for sterling — and an IBAN and account number for euros — issued in your own name, sitting inside your CoinCorner account. It is free to set up and carries no separate fees of its own.

It is worth understanding what this actually is, because "bank account" is doing some work in that phrase. An eMoney account is not a bank account in the strict sense. It is issued by an electronic money institution, which is required to safeguard customer funds — typically by ring-fencing them in a separate account at a regulated bank — but which sits outside the FSCS depositor-protection scheme that covers a normal UK current account (see Section 1). Functionally, though, it behaves like one for the purpose you need it for: it carries a sort code and account number that any UK bank recognises, and it can send and receive UK Faster Payments (FPS) transfers just like an ordinary account.

> IN PRACTICE
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> Log into your own bank's app or website, add the CoinCorner eMoney account as a new payee using the sort code and account number CoinCorner has given you, and transfer sterling to it exactly as you would to a friend or a utility company. The money typically arrives as a GBP balance inside your CoinCorner account within minutes via Faster Payments — and, notably, this route is free, where funding by debit card is not.

SECTION 4

Placing the Order

Buying is the least interesting part of this process, which is rather the point. From the Exchange tab, the Buy sub-tab is the default view. Choose GBP or EUR, type the amount you want to spend, and the equivalent amount of bitcoin fills in automatically. Before confirming anything, CoinCorner shows a full breakdown: the price you are buying at, the fee you will pay, and the exact amount of bitcoin you will receive. Only once that breakdown looks right do you click Buy BTC.

CoinCorner does not accept credit cards — only debit cards and bank transfers — and there is effectively no minimum: a single trade can be as small as £1 or €1. For those who would rather not think about timing at all, an **Auto Buy** feature will automatically purchase bitcoin from an incoming bank transfer, which, paired with a standing order from your own bank, turns “buy a little bitcoin every month” into something that happens without logging in.

SECTION 5

How the Fees Actually Work

CoinCorner’s charging structure has two layers that are easy to conflate: what it costs to get sterling into your account, and what it costs to convert that sterling into bitcoin. A third layer — what it costs to get money or bitcoin back out — matters once you reach Section 7.

FUNDING YOUR ACCOUNT

Method	Fee	Notes
GBP bank transfer (Faster Payments), via eMoney account	Free	No practical minimum, no maximum
EUR bank transfer (SEPA)	Free	£5 / €5 minimum
Debit card	2.5%	£10 / €10 minimum

BUYING & SELLING BITCOIN

Type	Fee	Limits
Standard buy / sell	1%	£1–£250,000 per trade
Auto Buy	1%	Capped at £25,000 per 24 hours

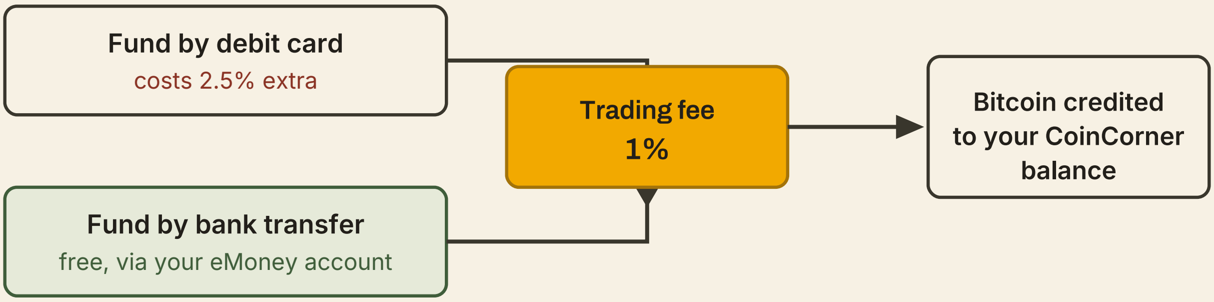
WITHDRAWING MONEY OR BITCOIN

Method	Fee	Notes
GBP to your bank, via eMoney account	**Free**	—
GBP without eMoney account / EUR	**£1 / €1**	—
Bitcoin, on-chain, slow (~1 month)	**Free**	Speed tier you choose at withdrawal
Bitcoin, on-chain, medium (~1 week)	**~0.0000125 BTC**	
Bitcoin, on-chain, fast (~15 min)	**~0.000035 BTC**	
Bitcoin, Lightning Network	**Free**	Capped at £1,000 / €1,000; subject to network liquidity

For a small buyer, the arithmetic writes itself: fund by bank transfer rather than card and the 2.5% surcharge disappears entirely, leaving the 1% trading fee as the only real cost of acquiring the bitcoin. When it is time to move coins off the exchange, there is rarely genuine urgency, so the free or near-free on-chain withdrawal tiers — or a Lightning withdrawal, if under the £1,000 cap and a Lightning-capable receiving wallet is on hand — are usually the sensible choice over paying for speed that isn't needed.

FEES CHANGE

Treat the figures above as illustrative of how CoinCorner's fee structure is organised — funding method, trade percentage, withdrawal speed — rather than a permanent price list. Exchanges revise fees without much fanfare; check CoinCorner's own current fees page before relying on any specific number.



Two ways in, one trading fee. The funding method is the only cost within your control.
Withdrawal fees (money and bitcoin) are a separate schedule — see Section 7.

Fig. 1 — Two funding routes into a single 1% trading fee. Bank transfer avoids the card surcharge entirely.

SECTION 6

Why Not Just Leave It on the Exchange?

This is the section that separates "buying bitcoin" from "owning bitcoin," and it is worth taking seriously even when the amount involved is small.

When bitcoin sits in a CoinCorner balance, the private keys that actually control it belong to CoinCorner, held in its own wallets on the customer's behalf. What the customer holds is an entry in CoinCorner's database and a contractual claim to redeem it. That is a perfectly normal way to run an exchange — not unlike how a stockbroker holds shares in nominee form — but it means bitcoin's most distinctive property, that ownership is enforced by cryptography rather than by a third party's promise, is switched off for as long as it stays there. "Not your keys, not your coins" is the slightly glib shorthand for this, and it has held up rather well as a piece of folk wisdom.

When the Exchange Itself Fails

It has held up because it keeps being demonstrated the hard way. Mt. Gox, once the largest bitcoin exchange in the world, collapsed in 2014 after losing custody of roughly 850,000 bitcoin to a long-running hack; customers are, more than a decade on, still working through repayment. QuadrigaCX, a Canadian exchange, folded in 2019 after its founder died holding what were reported to be the only keys to its cold wallets — wallets a later court-appointed investigation found were largely empty regardless. FTX collapsed in 2022 after customer funds that were supposed to be held on their behalf were, per subsequent findings, used elsewhere. The proximate causes differed — a hack, an alleged single point of failure, alleged fraud — but the pattern repeats: the risk that materialised in each case wasn't a flaw in bitcoin. It was a flaw in trusting a third party to hold it.

"Not your keys, not your coins."

When a Government Tells the Exchange What to Do

There is a second category of custodial risk that has nothing to do with an exchange's honesty or competence: the risk that a government simply orders it to act, and it complies, because refusing would cost it its licence. An exchange is a regulated legal entity domiciled in a specific jurisdiction, and it answers to that jurisdiction's authorities in a way a private individual holding their own keys does not.

Banking, not bitcoin, provided the starkest illustration. In March 2013, as a condition of an EU–IMF rescue package, uninsured depositors at Cyprus's two largest banks had close to half of their savings above €100,000 converted into bank equity overnight, insured deposits were left untouched only after an earlier, even broader levy was rejected, and capital controls — limits on withdrawals and transfers — were imposed across the entire banking system for weeks afterwards. The depositors had broken no rules. Their money was simply inside a system a government needed to reshape to prevent a larger collapse.

Bitcoin exchanges are not exempt from the same logic, and it does not take a crisis on that scale to see it. In February 2022, Canada invoked its Emergencies Act in response to the "Freedom Convoy" protests and directed regulated financial firms — banks and cryptocurrency exchanges alike — to freeze accounts and wallets linked to protest fundraising, without a prior court order. Exchanges operating under Canadian registration complied within days. A federal court later ruled the invocation of the Act unreasonable and unconstitutional — but that ruling came nearly two years afterwards, which is rather the point: the freeze was immediate, and the legal correction was not.

THE COMMON THREAD

Neither Cyprus nor the Canadian freeze order happened because anyone did anything wrong. They happened because the money was sitting somewhere a government could reach it. Self-custody does not put bitcoin beyond the reach of a government that wants something from its owner directly — it removes the exchange as a chokepoint a government can lean on instead.

None of this is a claim that CoinCorner specifically is unsound, dishonest, or a particular target; it is a claim about what regulated, custodial exchanges structurally are — entities that must answer to whichever jurisdiction licenses them, regardless of which one is used. And as Section 1 noted, none of it is covered by the depositor protection that makes leaving money in a UK bank account comparatively low-risk. Cold storage — moving bitcoin to a wallet where the private keys exist only on hardware under the owner's control, disconnected from the internet — removes that layer of counterparty and coercion risk. It doesn't remove every risk; a lost seed phrase, a house fire, or a moment of one's own carelessness can still cost the coins. But it converts "trust that an exchange won't fail, be hacked, or be ordered to freeze an account" into "don't lose a piece of paper" — a trade most small buyers should think carefully about making.

SECTION 7

Moving Bitcoin Off CoinCorner

The steps below are entirely mechanical once the decision to move coins off the exchange has been made. None of them require special expertise — only a little patience, and a habit of double-checking before pressing send.

1. **Set up your own wallet first.** Generate a new wallet — ideally a 24-word seed phrase created on a hardware signing device such as a Trezor or Ledger, entirely offline — before there is any bitcoin to move. Add Sparrow Wallet on a computer as a "watch-only" coordinator by importing the device's public key (its "xpub"), so Sparrow can generate receiving addresses and show a balance without ever touching the private key.

2. **Generate a receiving address in Sparrow, and verify it on the hardware device's own screen** — not only on the computer screen. This matters: malware that hijacks a clipboard or tampers with what a computer displays is a real, documented attack, and a hardware device's own screen sits outside its reach.

3. **In CoinCorner, go to Send or Withdraw, select Bitcoin, and paste or scan that address in.** Double-check that the first and last several characters match what the device showed.

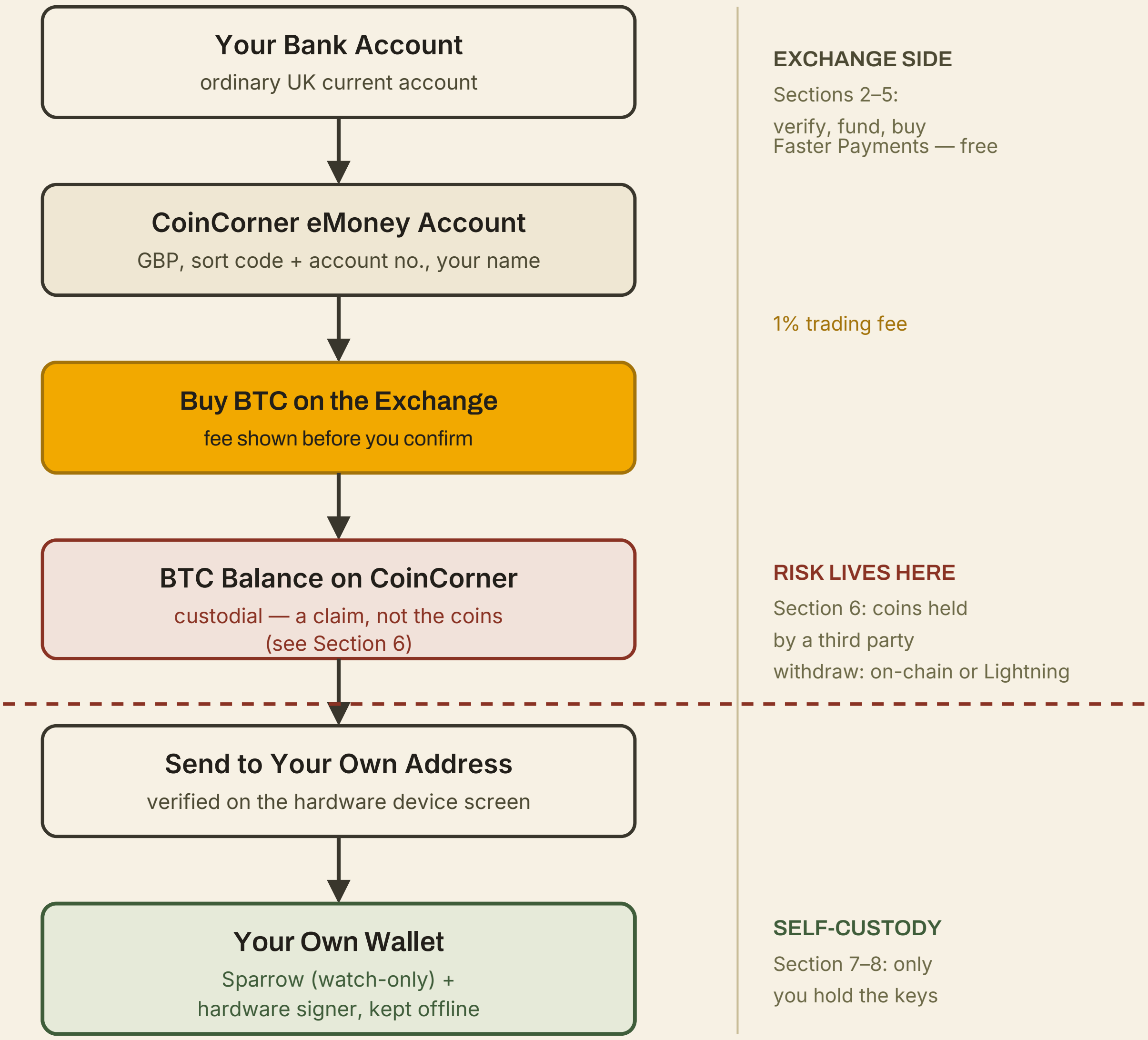
4. **Send a small test amount first** if this is a first withdrawal, confirm it arrives, and only then send the rest. It costs a little in fees and time; it is cheap insurance against a typo or a compromised clipboard.

5. **Choose the withdrawal speed deliberately** (see Section 5). Getting bitcoin off an exchange is rarely urgent, so there is usually no reason to pay for the fifteen-minute tier over the free one, unless the amount or personal comfort justifies it. Under £1,000 with a Lightning-capable wallet available as an intermediate hop, a Lightning withdrawal is typically faster and free — though Sparrow itself is an on-chain wallet, so this route needs a Lightning wallet in between rather than being a direct option.

6. **Wait for confirmations** before considering the transfer settled. One confirmation is fine for the price of a coffee; for a sum that would be missed, waiting for several is the more patient and more sensible habit.

FROM THIS POINT ON

Once confirmed, the bitcoin is controlled solely by whoever holds that seed phrase — which should now be one person and one person only, stored offline, ideally in more than one physically secure location, and never typed into any device connected to the internet.



Everything above the dotted risk line is reversible with a password reset.
Everything below it depends on one seed phrase — the entire point of this guide.

Fig. 2 — The full path: sterling in, bitcoin bought, and then out again to keys only you control.

SECTION 8

A Word on Sparrow Wallet and Hardware Signers

Sparrow Wallet is a free, open-source desktop application that acts as a coordinator rather than a custodian. Run in “watch-only” mode, it can generate new receiving addresses, track a balance, and build transactions — all using only a public key — without ever having access to the private key that could actually move the funds. The private key lives exclusively on a separate hardware device, kept offline.

Sending bitcoin under this setup looks slightly different from a typical exchange or hot-wallet send. Sparrow builds an unsigned transaction; that transaction is passed to the hardware device, via a cable, a microSD card or a QR code depending on the model; the device displays the transaction details on its own screen for review and approval; it signs the transaction internally using a key that never leaves the device; and the signed result is passed back to Sparrow to broadcast to the network. At no point does the private key touch the internet-connected computer.

The extra step worth taking

Many people using this kind of setup add a passphrase — sometimes called a “25th word” — on top of the 24-word seed. It only does its job if it is genuinely random, and a phrase composed from memory rarely is: people are reliably bad at generating randomness, and a self-invented passphrase is far more guessable than it feels. A more reliable approach is to generate something like six random words using the password generator built into a tool such as Bitwarden, rather than making one up — producing something like:

hammock-blurt-battery-douche-reflux-surfboard

A passphrase like this must be typed in exactly as generated — every character, including the dashes separating the words. Miss a dash, mistype a letter, or use a space instead of a hyphen, and the wallet derives a completely different, completely empty set of addresses, with no error or warning to say so. (This particular example is for illustration only and must never be used as a real passphrase: once printed in a published guide, it offers no security to anyone.) Whichever way a passphrase is produced, it is not written down alongside the seed words; it is memorised or stored separately, so that someone who finds the physical seed backup alone still cannot move the funds. It is a small amount of extra discipline that meaningfully raises the bar against theft of a backup.

The trade-off, plainly

None of this is complicated once set up, but it is unforgiving of a lost seed phrase in a way an exchange account, with its “forgot password” link, simply isn’t. Full control in exchange for full responsibility is the entire point of self-custody, and it deserves to be entered into with eyes open rather than assumed.

SUMMARY

The Short Version

Buying a small amount of bitcoin through CoinCorner is, mechanically, a short process: verify identity, fund a personal GBP eMoney account by bank transfer, buy bitcoin for a 1% fee, and hold a balance. The more consequential part happens after that: deciding not to leave it there. CoinCorner's Isle of Man registration covers anti-money-laundering supervision, not the deposit protection a UK bank account carries, and bitcoin held in any exchange account is, structurally, a claim on that exchange rather than bitcoin under one's own control — a claim that a government order can freeze or restrict overnight, as Cyprus's depositors and Canada's protest donors each discovered in their own way. Moving it to a wallet such as Sparrow, paired with a hardware signing device kept offline, converts that counterparty and coercion risk into personal custodial responsibility — a different set of risks, but ones within a person's own control rather than on someone else's balance sheet.

None of this is a recommendation to buy bitcoin, a comment on whether CoinCorner is the right exchange for any particular reader, or advice on how much of anything to hold. It is a description of how the mechanics fit together, for a reader who has already decided the first part and simply wants to do it without surprises.

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